

Testahil — Riyadh Cables Group Company (Tadawul: 4142)

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

What this workbook is. A transparent companion to the Riyadh Cables valuation study. Every blue cell is an input; every black cell is a formula; green cells link across sheets.

IT IS FORMULA-DRIVEN. Every figure derivable from a driver is a live formula, so you can change a blue on Assumptions and watch the model reprice: the cost of capital is built from the risk-free rate net of the sovereign spread, beta and the premium; the discount factors compound from the cost-of-debt glide; the DCF waterfall, the terminal block, the statement roll-forwards, all four lenses and every ratio chain off the same cells.

THREE CLASSES OF CELL ARE PASTED VALUES, and it is worth knowing exactly which. First, audited history — the primary record (FY2023-25 income statement and balance sheet, the FY2025 cost-stack base ground-up build starts from), not a calculation. Second, there is NO flattened unit-build paste: the cable cost stack is built live on the Segments sheet from the disclosed FY2025 materials and conversion figures the driver paths. Third, whole-model engine outputs, where each figure is a complete re-run of the valuation and so cannot be one formula: the Monte Carlo price map, the sensitivity grids, the DCF scenario bear/bull bounds, the two pasted framings of the contested gross-margin judgement, and the expert-panel median. Everything else — every lens base value, the relative/normalised/book bear and bull bounds, and the anchor roll — is a live formula. Changing a driver reprices the model but does NOT redraw the engine outputs.

How revenue is built. Not as one growth rate. A cable maker is a metal converter: materials (copper and aluminium) are 94.9% of cost of revenue. The build prices a tonnage index as metal content — on its own commodity path — plus a conversion spread whose cost escalates on domestic inflation; gross margin is the OUTPUT of that stack, not an input. The central judgement is the margin the business sustains once the FY2024-25 metal tailwind has passed, anchored on the most recent reviewed actual (H1-2026, 15.26%) rather than the higher FY2025 full-year print (16.24%), and computed both ways.

What it is not. It is not investment advice, a recommendation, or a price target. Values are model outputs shown as ranges.

Sourcing. FY2022-FY2025 come from the company's own audited consolidated financial statements (KPMG). FY2026 near-term anchor is the Tadawul-filed reviewed H1-2026 interim. Every input is listed with source and date in the companion bibliography document. No aggregator or broker figure is a build source.

Currency. SAR million unless stated. Spot SAR 104.80 (2026-08-18 close). Sheets: READ FIRST · Summary · Fundamental Valuation · Assumptions · SOTP Bridge · Segments · Relative & Normalized · DCF · Income Statement · Balance Sheet · Cash Flow · Summary Financials · Monte Carlo · Sensitivity · Per-Share & Ratios · Peer & Sector.

Testahil — Riyadh Cables Group Company (Tadawul: 41

Independent valuation study · educational · not investment advice

Lens	Bear
Discounted cash flow (primary)	88.81
Relative multiples	70.41
Normalised earnings power	78.13
Book value and sustainable return	71.05
Weighted central	
Terminal value as % of DCF EV	
Expert panel median	
Market price (anchor)	
Market capitalisation (SAR mn)	

42)

Base	Bull	Weight
145.80	236.77	45.0%
83.47	100.87	20.0%
102.14	126.14	20.0%
106.66	120.23	15.0%
118.73		
82.9%		
143.72		
104.80		
15,690		



vs spot

39.1%
(20.4%)
(2.5%)
1.8%
13.3%



Fundamental valuation — four lenses, one field

Every base value links live to its source sheet

Lens	Bear
Discounted cash flow (primary)	88.81
Relative multiples	70.41
Normalised earnings power	78.13
Book value and sustainable return	71.05
Weighted central	70.41

Expert panel median (whole-model — pasted)

Market price (anchor)

Central contested judgement — sustained gross margin, both ways

H1-2026 anchor (15.26%) — DCF value

FY2025-peak framing (16.0%) — DCF value (pasted re-run)

Further-compression framing (14.5%) — DCF value (pasted re-run)



Base	Bull	Weight	Contribution	vs spot
145.80	236.77	45.0%	65.61	39.1%
83.47	100.87	20.0%	16.69	(20.4%)
102.14	126.14	20.0%	20.43	(2.5%)
106.66	120.23	15.0%	16.00	1.8%
118.73	236.77	100.0%		13.3%

143.72

104.80



145.80

159.30

132.18

Assumptions — every blue cell is a driver

Change one and the model reprices

Anchors & market

Spot price (SAR)

Shares outstanding (mn)

Net financial debt at FY2025 (SAR mn, disclosed)

Cost of capital — explicit window

Risk-free rate (10-year SAR sukuk)

Sovereign default spread (netted out)

Equity risk premium (rating basis)

Beta (own-stock vs TASI)

Cost of debt, marginal pre-tax

Effective zakat and income tax rate

Cost of capital — terminal

Terminal risk-free rate

Terminal equity risk premium

Terminal beta

Terminal cost of debt

Terminal net-debt weight

Terminal growth

Forecast drivers — ground-up cost stack

Cable volume index growth

Metal content price growth

Conversion cost inflation

Sustained gross margin (H1-2026 anchor)

Gross-margin glide (added to anchor)

Operating expenses / revenue

Depreciation and amortisation / revenue

Capital expenditure / revenue

Net working capital / revenue

Cost-of-debt path

Forecast dividend payout ratio

Yield on surplus cash

Lens inputs

Justified EV/EBITDA

Justified price/earnings

Sustainable return on equity

Weight — discounted cash flow

Weight — relative

Weight — normalised

Weight — book

Anchor roll

Days to the anchor

FY2025 dividend per share paid in window

FY2025 disclosed base (audited)

FY2025 metal content / materials (SAR mn)
FY2025 conversion cost (SAR mn)
FY2025 net working capital (SAR mn)
FY2025 PP&E (SAR mn)
FY2025 gross borrowings incl. leases (SAR mn)
FY2025 equity attributable (SAR mn)
FY2025 associates carrying value (SAR mn)
FY2025 non-operating assets (SAR mn)
FY2025 NCI carrying value (SAR mn)

104.80
149.7
385

4.85%
0.51%
5.01%
1.129
5.90%
9.50%

4.34%
4.75%
1.000
5.50%
5.00%
4.00%

10.00%	7.50%	6.50%	5.50%	5.00%
-1.00%	0.00%	1.00%	1.00%	1.00%
3.00%	3.00%	3.00%	3.00%	3.00%
15.26%				
0.000	0.001	0.001	0.002	0.002
4.30%	4.30%	4.25%	4.20%	4.20%
0.85%				
1.90%	1.80%	1.70%	1.60%	1.60%
28.00%				
5.90%	5.80%	5.70%	5.60%	5.50%
55.00%				
4.00%				

9.00x
13.00x
28.00%
45.0%
20.0%
20.0%
15.0%

230
1.90

8,487
453
2,933
1,492
621
3,246
32
20
63

Enterprise value to equity bridge

All rows link to the DCF sheet; terminal-value share shown to the reader

Enterprise value

of which terminal value

terminal value as % of EV

Less: net financial debt

Add: associates + non-operating assets

Less: non-controlling interests

Equity attributable (31-Dec-2025)

Value per share at anchor (SAR)

██████████

21,221

17,592

82.9%

(385)

52

(63)

20,825

145.80

Segments — ground-up cost-stack build

Materials on the metal path; conversion on domestic inflation; gross margin is the OUTPUT

SAR mn / index	FY2025	FY2026E
Cable volume index (FY2025=100)	100.0	110.0
Metal content per unit	84.87	84.02
Conversion cost per unit	4.53	4.67
Materials (metal leg)	8,487	9,242
Conversion cost	453	514
Cost of revenue	8,940	9,756
Gross margin (target = anchor + glide)	16.24%	15.26%
Revenue	10,674	11,513
Gross profit	1,733	1,757
Operating expenses		495
Depreciation & amortisation		98
EBIT		1,262
EBITDA		1,360
EBITDA margin		11.81%

FY2025 disclosed segment revenue (Note 40)

Cables and wires	10,414	97.6%
High-voltage cables (turnkey projects)	231	2.2%
Other (telephone cables & services)	29	0.3%



FY2027E	FY2028E	FY2029E	FY2030E
118.3	125.9	132.9	139.5
84.02	84.86	85.71	86.57
4.81	4.95	5.10	5.26
9,935	10,687	11,388	12,077
569	624	678	733
10,504	11,311	12,066	12,810
15.36%	15.36%	15.41%	15.41%
12,410	13,364	14,264	15,143
1,906	2,053	2,198	2,334
534	568	599	636
105	114	121	129
1,373	1,485	1,599	1,698
1,478	1,598	1,720	1,826
11.91%	11.96%	12.06%	12.06%



Relative, normalised-earnings & book lenses

Each base value is a live formula; bear/bull vary the multiple

Relative — EV/EBITDA on FY2027E

FY2027E EBITDA

Justified EV/EBITDA

PV of interim FY2026-27E FCFF

Relative lens — implied value (base)

Bear (7.5x) / Bull (11.0x)

Normalised earnings power

Mid-cycle EBITDA margin (FY2028E)

FY2026E revenue

FY2026E net interest

Normalised EPS

Normalised lens — implied value (base)

Bear (10x) / Bull (16x)

Book value & sustainable return

Book value per share

Justified price / book

Book lens — implied value (base)

Bear / Bull



1,478
9.00x
1,390
83.47
70.41 100.87



11.96%
11,513
27
7.54
102.14
78.13 126.14



21.68
4.72x
106.66
71.05 120.23

Discounted cash flow

Cost of capital built from drivers; glide from the cost-of-debt path; terminal ROIC-consiste

Cost of capital

Normalised risk-free rate r_f^*

Cost of equity K_e

Cost of debt after tax

Market capitalisation

Net-debt weight

WACC — explicit window

Terminal cost of equity

Terminal cost of debt after tax

WACC — terminal

Discount-rate glide & waterfall

SAR mn

FY2026E

Glide fraction (from K_d path)

Forward WACC

Discount factor

EBIT

$NOPAT = EBIT \times (1 - \text{tax})$

+ Depreciation & amortisation

Revenue (memo)

- Capital expenditure

Net working capital

- Change in working capital

Free cash flow to firm

PV of FCFF

Invested capital & terminal

PP&E roll-forward

Invested capital = NWC + PP&E

$ROIC = NOPAT / \text{invested capital}$

PV of explicit FCFF (5 years)

Terminal ROIC

Terminal reinvestment rate = $g / ROIC$

Terminal NOPAT (next year)

Terminal value

PV of terminal value

Enterprise value

Terminal value as % of EV

Enterprise value to equity

Less: net financial debt

Add: associates + non-operating assets

Less: non-controlling interests

Equity attributable (31-Dec-2025)

Value per share (31-Dec-2025)

Anchor accretion factor

Value per share at anchor (18-Aug-2026)

vs spot

DCF scenarios (whole-model re-runs — pasted)

Bear

Base (= value per share at anchor)

Bull

nt

4.34%
10.00%
5.34%
15,690
2.40%
9.88%
9.09%
4.98%
8.88%

FY2027E	FY2028E	FY2029E	FY2030E	
0.0000	0.2500	0.5000	0.7500	1.0000
9.88%	9.63%	9.38%	9.13%	8.88%
0.9100	0.8301	0.7589	0.6953	0.6386
1,262	1,373	1,485	1,599	1,698
1,142	1,242	1,344	1,447	1,536
98	105	114	121	129
11,513	12,410	13,364	14,264	15,143
219	223	227	228	242
3,224	3,475	3,742	3,994	4,240
290	251	267	252	246
731	873	963	1,088	1,176
665	725	731	757	751

1,613	1,731	1,844	1,951	2,065
4,836	5,206	5,586	5,945	6,305
23.61%	23.86%	24.05%	24.34%	24.37%

3,628
25.34%
15.78%
1,598
27,548
17,592
21,221
82.9%

(385)
52

(63)
20,825
139.10
1.0619
145.80
39.1%

88.81
145.80
236.77

Income statement — 3y audited + 5y forecast

SAR mn

SAR mn	FY2023	FY2024
Revenue		7,825
Gross profit		973
Gross margin		12.43%
Operating expenses		325
EBITDA		716
Depreciation & amortisation		69
Operating profit (EBIT)		648
Net finance cost		(89)
Profit before zakat		559
Zakat & income tax		(39)
Profit for the year		518
Attributable profit		



FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
9,007	10,674	11,513	12,410	13,364	14,264
1,287	1,733	1,757	1,906	2,053	2,198
14.28%	16.24%	15.26%	15.36%	15.36%	15.41%
318	467	495	534	568	599
1,037	1,352	1,360	1,478	1,598	1,720
69	85	98	105	114	121
968	1,267	1,262	1,373	1,485	1,599
(88)	(74)	(27)	(23)	(15)	(5)
881	1,192	1,235	1,350	1,470	1,594
(64)	(108)	(117)	(128)	(140)	(151)
817	1,085	1,117	1,222	1,330	1,442
	1,080	1,113	1,217	1,325	1,436



15,143
2,334
15.41%
636
1,826
129
1,698
7
1,705
(162)
1,543
1,536

Balance sheet — audited history + forecast roll-forward

SAR mn; FY2023-25 audited, FY2026E-30E rolled forward from the cash flow

SAR mn	FY2023	FY2024
Property, plant & equipment		1,207
Inventory		1,909
Trade & other receivables		1,419
Cash & equivalents		150
Total assets		4,831
Gross borrowings incl. leases		731
Trade & other payables		1,220
Net working capital		2,108
Net financial debt		581
Equity attributable		

Forecast roll-forward (feeds the income statement & lenses)

Net debt, start of year	385
Surplus cash	236
Net interest	27
EBIT (from DCF)	1,262
Profit before zakat	1,235
Attributable profit	1,113
Dividend	612
Net debt, end of year	291
Equity attributable	3,747



FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
1,336	1,492	1,613	1,731	1,844	1,951
2,126	2,411				
2,112	2,713				
91	236				
5,812	7,282				
440	621	621	621	621	621
2,041	2,190				
2,197	2,933	3,224	3,475	3,742	3,994
350	385	291	108	(113)	(406)
2,624	3,246	3,747	4,294	4,890	5,537



291	108	(113)	(406)
330	513	734	1,028
23	15	5	(7)
1,373	1,485	1,599	1,698
1,350	1,470	1,594	1,705
1,217	1,325	1,436	1,536
669	729	790	845
108	(113)	(406)	(744)
4,294	4,890	5,537	6,228



2,065

621

4,240

(744)

6,228



Cash flow — free cash flow to the firm

SAR mn; the DCF waterfall as a statement

SAR mn	FY26E	FY27E
NOPAT		1,142
+ Depreciation & amortisation		98
- Capital expenditure		(219)
- Change in working capital		(290)
Free cash flow to firm		731
Discount factor		0.9100
PV of FCFF		665



FY28E	FY29E	FY30E	
1,242	1,344	1,447	1,536
105	114	121	129
(223)	(227)	(228)	(242)
(251)	(267)	(252)	(246)
873	963	1,088	1,176
0.8301	0.7589	0.6953	0.6386
725	731	757	751

Summary financials

SAR mn; forecast links to the model

SAR mn	FY26E	FY27E
Revenue		11,513
EBITDA		1,360
NOPAT		1,142
FCFF		731
Invested capital		4,836
ROIC		23.61%



FY28E	FY29E	FY30E	
12,410	13,364	14,264	15,143
1,478	1,598	1,720	1,826
1,242	1,344	1,447	1,536
873	963	1,088	1,176
5,206	5,586	5,945	6,305
23.86%	24.05%	24.34%	24.37%

Monte Carlo — calibrated forward price cone

Engine output (50,000 paths, seed 42); pasted whole-model re-runs, not driver formulas

Percentile	1-month	3-month
P5	87.21	76.55
P25	97.61	92.87
P50	104.79	105.06
P75	112.62	118.71
P95	126.18	144.06
Spot	104.80	104.80
P(above spot)	50.0%	50.5%
Annualised vol	36.1%	36.7%

3-month calibration: PARITY vs the random walk; coverage 0.70/0.80/0.90;



PIT mean 0.49.

Sensitivity — whole-model re-runs (pasted)

Each cell is a complete revaluation and does NOT redraw when a driver changes

DCF value per share: terminal WACC (rows) x terminal growth (cols)

	g=2%	g=3%	g=4%
WACC_t=6.88%	161.69	191.87	242.79
WACC_t=7.88%	134.95	153.65	181.82
WACC_t=8.88%	115.99	128.41	145.80
WACC_t=9.88%	101.83	110.50	122.02
WACC_t=10.88%	90.86	97.13	105.14

Beta sensitivity (DCF value/share)

0.7	209.30
0.9	164.20
1.129	130.90
1.3	113.27
1.5	97.51

Metal price x sensitivity (DCF value/share)

0.85	158.40
0.925	152.09
1.0	145.80
1.075	139.53
1.15	133.28

Sustained gross margin sensitivity (DCF value/share)

0.14	123.36
0.145	132.18
0.1526	145.80
0.155	150.15
0.16	159.30

Volume x sensitivity (DCF value/share)

0.9	132.96
0.95	139.38
1.0	145.80
1.05	152.21
1.1	158.61

Net working capital / revenue sensitivity (DCF value/share)

0.24	151.77
0.26	148.79
0.28	145.80
0.3	142.82
0.32	139.83



g=5%	g=6%
328.61	316.29
229.33	309.29
172.01	216.20
138.15	162.44
115.79	130.68

Per-share & ratios

	FY2025	FY26E
EPS (SAR)	7.22	7.43
Book value per share (SAR)	21.68	25.03
ROE (%)	36.8%	
Net debt / EBITDA (x)	0.28x	0.21x
Trailing EV/EBITDA (x)	11.89x	
Trailing P/E (x)	14.52x	



FY27E	FY28E	FY29E	FY30E
8.13	8.85	9.59	10.26
28.68	32.66	36.98	41.60
0.07x	-0.07x	-0.24x	-0.41x

Peer & sector context

Cross-check multiples only — never a source for the subject historicals

Peer	Market
Riyadh Cables (subject)	Tadawul
Prysmian	Milan
Nexans	Paris
Polycab India	NSE
KEI Industries	NSE
Ducab (private)	UAE

Justified EV/EBITDA applied in the relative lens: 9.0x (mid-range, sin

Fwd EV/EBITDA Note

11.89x trailing; ~14.5x P/E

8.50x global cable major

7.50x global cable major

26.00x high-growth EM premium

24.00x high-growth EM premium
regional peer, not listed

gle-country discount).